Nirmala Sitharaman outlined the direction the next phase that this ambitious programme will take, though she stopped short of revealing the financial allocation for it. If the first phase was about building credibility, ISM 2.0 will aim to build capability to 'fortify supply chains' in semiconductors. As Ashok Chandak, president of the India Electronics and Semiconductor Association, notes, its ambition is to transform India 'from being a participant to a structural player' in the global semiconductor ecosystem.

On the cards is an expansion beyond fabs and OSAT facilities into materials, tools and R&D. "ISM 2.0 will have a huge focus on equipment and materials used for manufacturing semiconductors," Ashwini Vaishnaw, the Union minister of electronics and information technology, said after the budget. Among other measures, this will entail reorienting India's chemicals and gases industry towards the high-quality require-

**THE FUTURE BET**

- **ISM 2.0 will aim to build capability to 'fortify supply chains' in semiconductors**
- **It will focus on equipment and materials used for manufacturing semiconductors**
- **Alongside, a design ecosystem will also be built**

UNION BUDGET

3 RARE EARTHS

# THE GROWTH MAGNETS

**After a disruption in rare earth magnet supplies, India is relying on dedicated corridors to secure these critical industrial inputs and reduce dependence on China**

*By* **M.G. ARUN**

**INDUSTRY SIZE**
**$2.3 BILLION**
*(₹21,000 crore)*

**BUDGET PLAN**
Dedicated corridors for rare earth mining, processing etc.



SHUTTERSTOCK

**Budget 2026 directly confronts a strategic vulnerability exposed last year:** India's dependence on overseas rare earth supplies. The urgency became evident in April 2025, when domestic automobile manufacturers ran into an unexpected bottleneck—a shortage of rare earth magnets, small yet indispensable components used across both electric and conventional vehicles. The disruption originated in China, which controls over 90 per cent of global rare earth processing capacity. Amid intensifying trade frictions with the US, Beijing abruptly halted rare earth magnet exports.

To reduce that exposure, the budget builds on policy steps initiated last year. The Centre has proposed supporting mineral-rich states—Odisha, Kerala, Andhra Pradesh and Tamil Nadu—in developing dedicated rare earth corridors that integrate mining, processing, research and manufacturing. It has also proposed scrapping the 2.5 per cent basic customs duty on monazite, a key input for high-end rare earth permanent magnets (REPMs).

These magnets, made from alloys of rare earth elements, offer magnetic strength far superior to conventional industrial magnets. From motors and steering systems to brakes and audio equipment, they sit at the heart of modern automotive engineering while also underpinning a wide array of high-technology and consumer applications. India imported 53,748 tonnes of rare